

Discount Authority Policy

NW-POL-001 | Version 2.0 | Status: current

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Status	current
Owner	Andrew Fuller, Vice President, Sales
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1. Purpose

This policy states who may agree a price discount for a customer, and how large that discount may be. It applies to every sales order taken by Northwind Traders, in both the Seattle and the London sales offices.

2. How discounts are recorded

A discount is given on an individual order line, not on the order as a whole. It is recorded in the Discount field of the order line as a fraction, so a discount of 15 percent is stored as 0.15.

In this policy, "sales representative" means the person recorded as the salesperson on the order, whatever their job title.

An order can contain lines with different discounts. The highest line discount on the order decides which approval the whole order needs.

3. Approval tiers

Tier	Line discount	Who may approve
Tier 1	From 0 percent up to and including 10 percent	The sales representative, on their own authority
Tier 2	Above 10 percent, up to and including 20 percent	The Sales Manager
Tier 3	Above 20 percent, up to and including 25 percent	The Vice President, Sales
Not permitted	Above 25 percent	Nobody. Northwind does not give discounts above 25 percent.

In 2026 the Sales Manager is Steven Buchanan and the Vice President, Sales is Andrew Fuller.

4. No self-approval

Nobody may approve their own request.

- When the Sales Manager is the salesperson on an order, a Tier 2 request goes to the Vice President, Sales.
- When the Vice President, Sales is the salesperson on an order, a Tier 2 or Tier 3 request must be countersigned by the Sales Manager.

5. Clearance exception for discontinued products

On an order line for a discontinued product that still has stock, a sales representative may give a discount of up to and including 15 percent on their own authority. A clearance discount above 15 percent follows the tiers in section 3. The details are in the Discontinued Product and Substitution Guide (NW-POL-003).

The exception applies only to the lines for discontinued products. The other lines on the same order follow section 3.

6. Contract discounts and promotions

A contract discount that a key account receives counts toward the tiers. It is not added on top of them. The total discount on the line decides the tier.

A promotion that has been published by the Vice President, Sales or by the Sales Manager is pre-approved up to the rate stated in the promotion. A line discount above that rate follows section 3.

7. How to request approval

- 1 Send the request to the Sales Approvals queue at sales-approvals@northwind.example. State the order number, the line, the discount requested and the business reason.
- 2 The approver replies in the queue. The reply is the record of the approval.
- 3 Enter the discount on the order line only after the approval has been recorded.

Approval must be recorded before the order is confirmed to the customer. Northwind does not give retroactive approvals. A discount that was confirmed to a customer without the required approval is reported to the Vice President, Sales.

8. What changed from version 1.0

Version 1.0 applied from 1 January 2025 to 31 December 2025. Version 2.0 raises the own-authority limit for sales representatives from 5 percent to 10 percent, raises the Sales Manager limit from 15 percent to 20 percent, adds the clearance exception in section 5, and adds the rule on published promotions in section 6. The upper limit of 25 percent is unchanged.